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Reminder: New Jersey and New York Both Benefit from Congestion Pricing

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As the conversation between New York and New Jersey continues over congestion pricing, it's worth remembering some key facts about how both sides of the Hudson River will benefit from the program.

- New York City relies on New Jersey workers to drive its economy. 21% of New York City's 4.8 million workforce lives outside the five boroughs, commuting into the city for their employment. New Jersey has the highest percentage of these workers—38%—coming primarily from Hudson, Bergen, Essex, and Passaic counties.

- New Jersey benefits enormously from its connection with New York City, since Manhattan jobs pay extremely well. In 2022, the 447K New Jersey commuters to New York City had an average wage of \$138K and earned a total of \$61.7 billion, which they brought back to their communities, creating 310K additional jobs and \$30 billion in earnings locally. And again – the vast majority of these workers rely on mass transit – not personal automobiles – to provide access to these jobs.

- This trend is likely to grow, given that northern New Jersey is leading the region in building housing and transit projects like Gateway, the rebuilt Port Authority Bus Terminal and improvements to PATH service which increase capacity and reliability for New Jersey commuters. At the same time, the number of drivers into the city hasn't changed much since the 1980s, so few of the increased commuters over the next generation will be driving cars. There simply isn't any more room in Manhattan for them.

- Many more New Jersey commuters use mass transit – commuter rail, buses, PATH or ferries – than drive into the city each day. In fact, **86% of all trips** into and out of the congestion relief zone are on transit. These riders will benefit from improved MTA service once they get to Manhattan.

- This is especially true for the 274,000 daily trips on buses into and out of the congestion pricing zone from New Jersey, because decreases in traffic volumes within Manhattan and near the 60th Street boundary would speed up those commutes. While most of the attention is focused on car drivers and rail commuters, more people ride buses than drive or take NJTransit across the Hudson River to get to work each day.

- Congestion pricing will pay for an MTA construction program that

benefit the entire regional economy. Over the last decade, \$8.6 billion

benefits the entire regional economy. Over the last decade, \$3.3 billion flowed from MTA capital construction projects directly to New Jersey businesses. Without congestion pricing, the MTA will be required to cut back on these projects – hitting the bottom line of New Jersey businesses.

Difference in median household income between those who commute into Manhattan and those who work in their home county

Workers who commute into Manhattan earn more than their neighbors.

Since jobs in Manhattan tend to pay more than jobs in other localities, those who commute to work in the congestion zone, on average, outearn those who work in the county where they live. This is true for people regardless of what county they live in and what transportation they take to work. Relative to other residents of the region, those who drive into Manhattan are best positioned to choose between paying the congestion charge and switching transportation modes.

- For people who drive into Manhattan from New Jersey occasionally, a \$6 additional congestion fee is extremely modest, especially if you consider existing fees, parking rates, and the high cost of outings in NYC.
- Even with the proposed \$6 charge in effect, it will be much less expensive for most New Jerseyans to drive into the city than to take mass transit – especially if the vehicle contains more than one person. For comparison, two people traveling from Metropark to New York Penn Station would pay \$40.40 on NJTransit versus \$21.38 in Hudson River tolls. Even

adding in \$8-\$10 for Turnpike or Parkway tolls, driving is much cheaper than transit. And for a group of three or more, the savings are much higher.

- The congestion pricing environmental assessment estimated that traffic would be reduced by 17% in the zone, which would lead to improved air quality across the entire region. This includes a 3% estimated reduction in particulate matter levels in Hudson County, due to fewer people driving to the Holland and Lincoln Tunnels.
- Arguments against congestion pricing have focused on possible impacts identified by the environmental assessment of the program. Modeling suggests that PATH could see a small 0.7% to 2.0% growth in ridership while NJ TRANSIT could see 0.3% to 2.3%. And some communities could see a small increase in air pollution – less than 1%. The proposal to apply a credit to the George Washington Bridge Crossings – in addition to the Lincoln and Holland tunnels – is most likely going to eliminate any increase in air pollution. But in any case, these impacts should be monitored, and if there are any negative consequences of the program, they can and must be remedied. But models are not infallible, and we won't know the actual impacts until the system is up and running. Rather than kill the program to come up with a proposal that doesn't predict any negative impacts – which is likely impossible to achieve – it would be much better to begin implementing it with a firm commitment to fix any local negative impacts.

For these and even more reasons, congestion pricing is a policy whose time has come.



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